FALLEN EMPIRES

Bombas: the Shark Tank deal sheet

The deal at a glance

- **Episode:** Shark Tank US, season 6, episode 1 (September 2014)
- **The ask:** $200,000 for 5% of the company, an implied valuation of $4 million ($200,000 ÷ 5%)
- **The deal:** $200,000 from Daymond John for 17.5%, a valuation of about $1.14 million ($200,000 ÷ 17.5%)
- **Other sharks:** four sharks (Kevin O'Leary, Robert Herjavec, Lori Greiner, Mark Cuban) passed
- **Before the show:** the founders, Randy Goldberg and David Heath, had raised nearly $145,000 on Indiegogo (2013) and about $1 million from friends and family
- **After the show:** revenue passed $100 million in 2018 (reported); more than 150 million items donated by 2025 (reported)

What was this business?

Bombas sells socks and donates one pair for every pair sold. The idea came from the fact that socks are the most requested clothing item in homeless shelters.

3 things this case shows

1. **Demand was proven before the pitch.** The Indiegogo campaign and early sales came first.
2. **A clear mission gave the product a story.** Buy one, give one is easy to explain in one sentence.
3. **The founders gave up more equity than they offered** (17.5% instead of 5%) and kept building the brand.

2 mistakes to avoid

1. Treating a valuation as a score: a lower valuation at the deal does not decide how the company ends up.
2. Mixing lifetime sales with yearly revenue: they are different numbers. Always check which one a headline uses.

Glossary

- **Equity:** the share of the company an investor owns.
- **Valuation:** the price of the whole company, implied by amount ÷ share. $200,000 for 17.5% implies about $1.14 million.
- **Revenue:** the money a company takes in from sales, before costs.
- **Buy-one-give-one:** a model where each sale triggers a donation of the same product.

Sources

- Entrepreneur: Bombas is the most successful Shark Tank brand
- Wikipedia: Bombas
- Shark Tank Blog: Bombas, season 6

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